KENYA RE

STRENGTH & WISDOM BEYOND BORDERS

# KENYA REINSURANCE CORPORATION LTD

## CONSOLIDATED STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME AS AT 31ST DECEMBER 2019

| | Unaudited Short term Business 2019 KShs '000 | Unaudited Long term Business 2019 KShs '000 | Unaudited Total 2019 KShs '000 | Audited Total 2018 KShs '000 |
|---|---|---|---|---|
| **INCOME** | | | | |
| Gross premiums written | 15,477,937 | 2,043,406 | 17,521,343 | 14,838,393 |
| Less: change in unearned premiums | (913,270) | - | (913,270) | 190,991 |
| Less: retrocession premiums | (979,053) | (98,402) | (1,077,455) | (823,408) |
| **NET EARNED PREMIUMS** | **13,585,614** | **1,945,004** | **15,530,618** | **14,205,976** |
| Investment income | 2,866,683 | 848,013 | 3,714,696 | 3,386,177 |
| Commissions recovered | 25,222 | 29,520 | 54,742 | 41,229 |
| Fair value gains on revaluation of investment properties | 1,861,315 | 315,277 | 2,176,592 | 397,211 |
| Other income | 52,969 | - | 52,969 | 54,876 |
| Share of associate profits | 587,444 | - | 587,444 | 180,865 |
| **TOTAL INCOME** | **18,979,247** | **3,137,814** | **22,117,061** | **18,266,334** |
| **CLAIMS AND BENEFITS** | | | | |
| Gross claims incurred and policy holder benefits | (10,514,875) | (932,846) | (11,447,721) | (9,456,217) |
| Less: Re-insurers share of claims and policy holder benefits | 353,755 | 32,026 | 385,781 | 625,967 |
| **NET CLAIMS AND BENEFITS** | **(10,161,120)** | **(900,820)** | **(11,061,940)** | **(8,830,250)** |
| Cedant acquisition costs | (3,492,083) | (599,964) | (4,092,047) | (3,890,255) |
| Operating and other expenses | (1,805,137) | (238,315) | (2,043,452) | (2,019,834) |
| Provision for doubtful debts | (743,428) | - | (743,428) | (424,145) |
| **TOTAL CLAIMS, BENEFITS, AND OTHER EXPENSES** | **(16,201,768)** | **(1,739,099)** | **(17,940,867)** | **(15,164,484)** |
| **PROFIT BEFORE TAX** | **2,777,478** | **1,398,715** | **4,176,194** | **3,101,850** |
| INCOME TAX EXPENSE | (185,346) | (24,469) | (209,815) | (823,568) |
| PROFIT FOR THE YEAR | 2,592,133 | 1,374,245 | 3,966,379 | 2,278,282 |
| **OTHER COMPREHENSIVE INCOME** | | | | |
| Items that will not be reclassified subsequently to profit or loss: | | | | |
| Share of gain on property revaluation of associate | 1,812 | | 1,812 | 401 |
| Remeasurement gains/ (losses) on defined benefit plans, net of tax | (60,119) | | (60,119) | (22,305) |
| Items that may be reclassified subsequently to profit or loss: | | | | |
| Reclassification adjustment relating to available-for-sale financial assets disposed in the year | (137,457) | | (137,457) | (201,532) |
| Net gains / (losses) on revaluation of available-for-sale quoted equity instruments | (52,777) | | (52,777) | (328,495) |
| Net gains on revaluation of available-for-sale government securities | 69,316 | | 69,316 | 46,896 |
| Share of movement in associate reserves: | | | | |
| – currency translation | 7,415 | | 7,415 | (45,990) |
| – fair value reserve | 99,275 | | 99,275 | 35,649 |
| **TOTAL OTHER COMPREHENSIVE INCOME** | **(73,710)** | **-** | **(73,710)** | **(515,376)** |
| **TOTAL COMPREHENSIVE INCOME** | **2,518,423** | **1,374,246** | **3,892,669** | **1,762,906** |
| **EARNINGS PER SHARE - basic and diluted** | | | **2.55** | **3.25** |
| **Key Ratios** | | | | |
| Capital Adequacy Ratio | | | 875% | 219% |
| Solvency Ratio | | | 1045% | 842% |
| Claims Ratio | | | 65% | 64% |
| Expense Ratio | | | 35% | 40% |

## CONSOLIDATED STATEMENT OF FINANCIAL POSITION AS AT 31ST DECEMBER 2019

| | Unaudited Short term Business 2019 KShs '000 | Unaudited Long term Business 2019 KShs '000 | Unaudited Total 2019 KShs '000 | Audited Total 2018 KShs '000 |
|---|---|---|---|---|
| **EQUITY** | | | | |
| Share capital | 6,499,491 | 500,000 | 6,999,491 | 1,749,873 |
| Revaluation reserve | 17,530 | | 17,530 | 15,718 |
| Fair value reserve | (81,424) | (10,064) | (91,488) | (68,670) |
| Translation reserve | 288,983 | | 288,983 | 281,568 |
| Statutory reserve | 0 | 5,754,183 | 5,754,183 | 4,379,937 |
| Retained earnings | 18,982,026 | | 18,982,026 | 22,014,607 |
| **TOTAL EQUITY** | **25,706,606** | **6,244,119** | **31,950,725** | **28,373,033** |
| **ASSETS** | | | | |
| Property and equipment | 88,919 | | 88,919 | 91,631 |
| Intangible assets | 180,046 | 293,758 | 473,804 | 588,256 |
| Mortgage loans | 677,385 | | 677,385 | 725,862 |
| Investment properties | 10,330,225 | 1,749,775 | 12,080,000 | 10,105,000 |
| Investment in associate | 5,169,908 | | 5,169,908 | 4,473,962 |
| Employee defined benefit asset | 0 | | 0 | |
| Unquoted equity instruments | 205,733 | | 205,733 | 202,231 |
| Corporate bonds | 156,450 | | 156,450 | 475,912 |
| Reinsurance Receivables | 2,467,972 | 157,530 | 2,625,502 | 3,673,176 |
| Premium and loss reserves | 281,968 | | 281,968 | 271,655 |
| Other receivables | 538,401 | | 538,401 | 224,806 |
| Quoted equity instruments | 1,219,059 | 346,246 | 1,565,305 | 1,599,431 |
| Government securities | 13,209,840 | 3,903,101 | 17,112,941 | 14,314,752 |
| Inventory | 22,071 | | 22,071 | 13,590 |
| Deferred acquisition costs | 1,408,838 | | 1,408,838 | 1,363,134 |
| Deposits with financial institutions | 1,731,660 | 5,054,975 | 6,786,635 | 5,459,225 |
| Cash and bank balances | 572,977 | 11,693 | 584,670 | 338,035 |
| Income Tax Receivable | 584,440 | | 584,440 | 441,976 |
| **TOTAL ASSETS** | **38,845,892** | **11,517,078** | **50,362,970** | **44,362,634** |
| **LIABILITIES** | | | | |
| Long term reinsurance contract liabilities | 0 | 2,687,032 | 2,687,032 | 2,629,125 |
| Short term reinsurance contracts liabilities | 6,205,183 | | 6,205,183 | 6,002,946 |
| Reinsurance payables | 1,482,457 | 325,417 | 1,807,874 | 549,466 |
| Deferred tax liability | (1,218,165) | 2,260,510 | 1,042,345 | 1,083,782 |
| Other payables | 705,961 | | 705,961 | 745,869 |
| Income tax payable | 0 | 0 | 0 | 0 |
| Unearned premiums | 5,836,221 | | 5,836,221 | 4,922,951 |
| Defined benefit liabilty | 127,629 | | 127,629 | 55,462 |
| **TOTAL LIABILITIES** | **13,139,286** | **5,272,959** | **18,412,245** | **15,989,601** |
| **NET ASSETS** | **25,706,606** | **6,244,119** | **31,950,725** | **28,373,033** |

## UNAUDITED CONSOLIDATED STATEMENT OF CHANGES IN EQUITY AS AT 31ST DECEMBER 2019

| | Share capital KShs '000 | Revaluation reserve KShs '000 | Fair value reserve KShs '000 | Translation reserve KShs '000 | Statutory reserve KShs '000 | Retained earnings KShs '000 | Total KShs '000 |
|---|---|---|---|---|---|---|---|
| **At 1 January 2018** | **1,749,873** | **15,317** | **378,812** | **327,558** | **3,939,491** | **20,794,033** | **27,205,084** |
| Profit for the year | 0 | 0 | 0 | 0 | 440,446 | 1,837,836 | 2,278,282 |
| Other comprehensive income | 0 | 401 | (447,482) | (45,990) | 0 | (22,305) | (515,376) |
| Total comprehensive income | 0 | 401 | (447,482) | (45,990) | 440,446 | 1,815,531 | 1,762,906 |
| Dividends declared – 2017 | | | | | | (594,957) | (594,957) |
| **At 31 December 2018** | **1,749,873** | **15,718** | **(68,670)** | **281,568** | **4,379,937** | **22,014,607** | **28,373,033** |
| At 1 January 2019 | 1,749,873 | 15,718 | (68,670) | 281,568 | 4,379,937 | 22,014,607 | 28,373,033 |
| Profit for the period 31.12.2019 | 0 | 0 | 0 | 0 | 1,374,246 | 2,592,133 | 3,966,379 |
| Other comprehensive income (loss)/income | 0 | 1,812 | (22,818) | 7,415 | 0 | (60,119) | (73,710) |
| Total comprehensive income | 0 | 1,812 | (22,818) | 7,415 | 1,374,246 | 2,532,014 | 3,892,669 |
| Dividends declared - 2018 | | | | | | (314,977) | (314,977) |
| Bonus issues shares from retained earnings | 5,249,618 | | | | | (5,249,618) | - |
| **At 31 December 2019** | **6,999,491** | **17,530** | **(91,488)** | **288,983** | **5,754,183** | **18,982,026** | **31,950,725** |

## CONSOLIDATED STATEMENT OF CASH FLOWS AS AT 31ST DECEMBER 2019

| | Unaudited 2019 KShs '000 | Audited 2018 KShs '000 |
|---|---|---|
| Net cash generated from operations | 2,283,783 | 1,210,624 |
| Interest received on corporate bonds | 61,056 | 58,004 |
| Interest received on government securities | 1,892,961 | 1,823,523 |
| Interest received on staff mortgages and loans | 22,931 | 18,745 |
| Interest received on deposits with financial institutions | 443,677 | 215,445 |
| Interest received on commercial mortgages | 38,825 | 47,828 |
| Tax paid in the year | (410,389) | (999,879) |
| **Net cash generated from operating activities** | **4,332,844** | **2,374,290** |
| Cash flows from investing activities | | |
| Purchase of investment property | (98,558) | (85,789) |
| Purchase of property and equipment | (30,953) | (49,572) |
| Proceeds on sale of property and equipment | - | |
| Proceeds on disposal of non-current assets held for sale | - | |
| Purchase of intangible assets | (88,361) | (194,395) |
| Purchase of government securities | (11,347,233) | (7,751,243) |
| Proceeds on maturity of government securities | 8,739,837 | 8,009,796 |
| Purchase of quoted equity instruments | (152,911) | - |
| Proceeds on sale of quoted equity instruments | 133,085 | 259,376 |
| Proceeds on redemption of corporate bonds | 305,925 | 5,925 |
| Dividends received on quoted equity instruments | 95,347 | 187,742 |
| Investment in Subsidiary | | |
| **Net cash generated from/ (used in) investing activities** | **(2,443,822)** | **381,840** |
| Cash flows used in financing activities | | |
| Dividends paid | (314,977) | (594,957) |
| Net increase/ (decrease) in cash and cash equivalents | **1,574,045** | **2,161,173** |
| Cash and cash equivalents at 1 January | 5,797,260 | 3,635,590 |
| Effect of unrealised exchange rate changes | - | 649 |
| **Cash and cash equivalent at 31 December 2019** | **7,371,305** | **5,797,260** |

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ABILITY BEYOND DISABILITY
Ability Beyond Disability
KENYA RE

KENYA RE

STRENGTH & WISDOM BEYOND BORDERS

# KENYA REINSURANCE CORPORATION LTD

## COMPANY STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME AS AT 31ST DECEMBER 2019

| | Unaudited Short term Business 2019 KShs '000 | Unaudited Long term Business 2019 KShs '000 | Unaudited Total 2019 KShs '000 | Audited Total 2018 KShs '000 |
|---|---|---|---|---|
| **INCOME** | | | | |
| Gross premiums written | 14,332,826 | 2,040,656 | 16,373,482 | 14,047,041 |
| Less: change in unearned premiums | (836,587) | - | (836,587) | 208,661 |
| Less: retrocession premiums | (793,553) | (98,402) | (891,955) | (803,958) |
| **NET EARNED PREMIUMS** | **12,702,686** | **1,942,254** | **14,644,940** | **13,451,744** |
| Investment income | 2,818,516 | 863,114 | 3,681,630 | 3,365,243 |
| Commissions recovered | 6,327 | 29,520 | 35,847 | 34,421 |
| Fair value gains on revaluation of investment properties | 1,861,315 | 315,277 | 2,176,592 | 397,211 |
| Other income | 52,969 | - | 52,969 | 54,876 |
| Share of associate profits | 587,444 | - | 587,444 | 180,865 |
| **TOTAL INCOME** | **18,029,257** | **3,150,165** | **21,179,422** | **17,484,360** |
| CLAIMS AND BENEFITS | | | | |
| Gross claims incurred and policy holder benefits | (10,123,244) | (929,998) | (11,053,242) | (9,167,627) |
| Less: Re-insurers share of claims and policy holder benefits | 353,755 | 32,026 | 385,781 | 625,967 |
| **NET CLAIMS AND BENEFITS** | **(9,769,489)** | **(897,972)** | **(10,667,461)** | **(8,541,660)** |
| Cedant acquisition costs | (3,196,101) | (599,140) | (3,795,241) | (3,650,381) |
| Operating and other expenses | (1,686,095) | (240,060) | (1,926,155) | (1,900,568) |
| Provision for doubtful debts | (748,757) | - | (748,757) | (358,478) |
| **TOTAL CLAIMS, BENEFITS AND OTHER EXPENSES** | **(15,400,442)** | **(1,737,172)** | **(17,137,614)** | **(14,451,087)** |
| PROFIT BEFORE TAX | **2,628,815** | **1,412,993** | **4,041,808** | **3,033,273** |
| INCOME TAX EXPENSE | (158,303) | (22,539) | (180,842) | (823,568) |
| **PROFIT FOR THE YEAR** | **2,470,512** | **1,390,454** | **3,860,966** | **2,209,705** |
| OTHER COMPREHENSIVE INCOME | | | | |
| Items that will not be reclassified subsequently to profit or loss: | | | | |
| Share of gain on property revaluation of associate | 1,812 | | 1,812 | 401 |
| Remeasurement gains/ (losses) on defined benefit plans, net of tax | (60,119) | | (60,119) | (22,305) |
| Items that may be reclassified subsequently to profit or loss: | | | | |
| Reclassification adjustment relating to available-for-sale financial assets disposed in the year | (137,457) | | (137,457) | (201,532) |
| Net (losses) / gains on revaluation of available-for-sale quoted equity instruments | (53,952) | | (53,952) | (328,495) |
| Net gains on revaluation of available-for-sale government securities | 69,316 | | 69,316 | 46,896 |
| Share of movement in associate reserves: | | | | |
| – currency translation | 7,415 | | 7,415 | (45,990) |
| – fair value reserve | 99,275 | | 99,275 | 35,649 |
| TOTAL OTHER COMPREHENSIVE INCOME | (73,710) | - | (73,710) | (515,376) |
| **TOTAL COMPREHENSIVE INCOME** | **2,396,802** | **1,390,454** | **3,787,256** | **1,694,329** |
| **EARNINGS PER SHARE - basic and diluted** | | | **2.48** | **3.16** |
| **Key Ratios** | | | | |
| Capital Adequacy Ratio | | | **875%** | **219%** |
| Solvency Ratio | | | **986%** | **842%** |
| Claims Ratio | | | **68%** | **65%** |
| Expense Ratio | | | **35%** | **40%** |

## COMPANY STATEMENT OF FINANCIAL POSITION AS AT 31ST DECEMBER 2019

| | Unaudited Short term Business 2019 KShs '000 | Unaudited Long term Business 2019 KShs '000 | Unaudited Total 2019 KShs '000 | Audited Total 2018 KShs '000 |
|---|---|---|---|---|
| **EQUITY** | | | | |
| Share capital | 6,499,491 | 500,000 | 6,999,491 | 1,749,873 |
| Revaluation reserve | 17,530 | | 17,530 | 15,718 |
| Fair value reserve | (81,424) | (10,064) | (91,488) | (68,670) |
| Translation reserve | 289,763 | | 289,763 | 282,348 |
| Statutory reserve | - | 5,711,407 | 5,711,407 | 4,320,953 |
| Retained earnings | 19,011,450 | | 19,011,450 | 22,165,652 |
| **TOTAL EQUITY** | **25,736,810** | **6,201,343** | **31,938,153** | **28,465,874** |
| **ASSETS** | | | | |
| Property and equipment | 66,794 | | 66,794 | 68,541 |
| Intangible assets | 180,045 | 293,758 | 473,804 | 588,256 |
| Mortgage loans | 668,075 | | 668,075 | 716,550 |
| Investment properties | 10,330,225 | 1,749,775 | 12,080,000 | 10,105,000 |
| Investment in associate | 5,169,908 | | 5,169,908 | 4,473,962 |
| Investment in Subsidiary | 463,408 | | 463,408 | 187,782 |
| Employee defined benefit asset | - | | - | - |
| Unquoted equity instruments | 205,733 | | 205,733 | 202,231 |
| Corporate bonds | 156,450 | | 156,450 | 475,912 |
| Reinsurance Receivables | 1,951,839 | 124,585 | 2,076,424 | 3,296,200 |
| Premium and loss reserves | 158,820 | | 158,820 | 170,731 |
| Due from related party | 85,508 | - | 85,508 | 93,820 |
| Other receivables | 516,970 | | 516,970 | 212,125 |
| Quoted equity instruments | 1,219,059 | 346,246 | 1,565,305 | 1,599,431 |
| Government securities | 13,069,364 | 3,903,101 | 16,972,465 | 14,314,752 |
| Inventory | 21,973 | - | 21,973 | 13,492 |
| Deferred acquisition costs | 1,285,548 | | 1,285,548 | 1,249,752 |
| Deposits with financial institutions | 1,231,785 | 5,006,347 | 6,238,132 | 5,212,505 |
| Cash and bank balances | 346,207 | 6,761 | 352,968 | 161,216 |
| Income Tax Receivable | 565,720 | | 565,720 | 410,956 |
| **TOTAL ASSETS** | **37,693,432** | **11,430,573** | **49,124,005** | **43,553,214** |
| **LIABILITIES** | | | | |
| Long term reinsurance contract liabilities | - | 2,687,032 | 2,687,032 | 2,629,125 |
| Short term reinsurance contracts liabilities | 5,706,891 | | 5,706,891 | 5,553,840 |
| Reinsurance payables | 1,283,243 | 281,688 | 1,564,931 | 440,611 |
| Deferred tax liability | (1,234,837) | 2,260,510 | 1,025,673 | 1,083,782 |
| Other payables | 628,511 | | 628,511 | 708,769 |
| Income tax payable | 0 | - | 0 | - |
| Unearned premiums | 5,409,247 | | 5,409,247 | 4,572,660 |
| Defined benefit liability | 127,629 | | 127,629 | 55,462 |
| Due to related Party | 35,938 | | 35,938 | 43,091 |
| **TOTAL LIABILITIES** | **11,956,622** | **5,229,230** | **17,185,852** | **15,087,340** |
| **NET ASSETS** | **25,736,810** | **6,201,343** | **31,938,153** | **28,465,874** |

## UNAUDITED COMPANY STATEMENT OF CHANGES IN EQUITY AS AT 31ST DECEMBER 2019

| | Share capital KShs '000 | Revaluation reserve KShs '000 | Fair value reserve KShs '000 | Translation reserve KShs '000 | Statutory reserve KShs '000 | Retained earnings KShs '000 | Total KShs '000 |
|---|---|---|---|---|---|---|---|
| **At 1 January 2018** | **1,749,873** | **15,317** | **378,812** | **328,338** | **3,885,371** | **21,008,791** | **27,366,502** |
| Profit for the year | 0 | 0 | 0 | 0 | 435,582 | 1,774,123 | **2,209,705** |
| Other comprehensive income | 0 | 401 | (447,482) | (45,990) | 0 | (22,305) | **(515,376)** |
| Total comprehensive income | 0 | 401 | (447,482) | (45,990) | 435,582 | 1,751,818 | **1,694,329** |
| Dividends declared – 2017 | | | | | | (594,957) | **(594,957)** |
| **At 31 December 2018** | **1,749,873** | **15,718** | **(68,670)** | **282,348** | **4,320,953** | **22,165,652** | **28,465,874** |
| At 1 January 2019 | 1,749,873 | 15,718 | (68,670) | 282,348 | 4,320,953 | 22,165,652 | **28,465,874** |
| Profit for the period 31.12.2019 | 0 | 0 | 0 | 0 | 1,390,454 | 2,470,512 | **3,860,966** |
| Other comprehensive income (loss)/income | 0 | 1,812 | (22,818) | 7,415 | 0 | (60,119) | **(73,710)** |
| Total comprehensive income | 0 | 1,812 | (22,818) | 7,415 | 1,390,454 | 2,410,393 | **3,787,256** |
| Dividends declared - 2018 | | | | | | (314,977) | **(314,977)** |
| Bonus issues shares from retained earnings | 5,249,619 | | | | | (5,249,619) | **-** |
| **At 31 December 2019** | **6,999,492** | **17,530** | **(91,488)** | **289,763** | **5,711,407** | **19,011,450** | **31,938,153** |

## COMPANY STATEMENT OF CASH FLOWS AS AT 31ST DECEMBER 2019

| | Unaudited 2019 KShs '000 | Audited 2018 KShs '000 |
|---|---|---|
| Net cash generated from operations | 2,089,547 | 1,196,722 |
| Interest received on corporate bonds | 61,056 | 58,004 |
| Interest received on government securities | 1,871,787 | 1,823,523 |
| Interest received on staff mortgages and loans | 22,763 | 18,348 |
| Interest received on deposits with financial institutions | | 184,563 |
| Interest received on commercial mortgages | 38,825 | 47,828 |
| Tax paid in the year | (393,713) | (999,879) |
| **Net cash generated from operating activities** | **3,690,265** | **2,329,109** |
| Cash flows from investing activities | | |
| Purchase of investment property | (98,558) | (85,789) |
| Purchase of property and equipment | (25,554) | (37,940) |
| Proceeds on sale of property and equipment | - | - |
| Proceeds on disposal of non-current assets held for sale | - | - |
| Purchase of intangible assets | (88,361) | (194,395) |
| Purchase of government securities | (11,226,222) | (7,751,243) |
| Proceeds on maturity of government securities | 8,739,837 | 8,009,796 |
| Purchase of quoted equity instruments | (152,911) | - |
| Proceeds on sale of quoted equity instruments | 133,085 | 259,376 |
| Proceeds on redemption of corporate bonds | 305,925 | 5,925 |
| Dividends received on quoted equity instruments | 95,347 | 187,742 |
| Investment in Subsidiary | (275,626) | |
| **Net cash generated from/ (used in) investing activities** | **(2,593,038)** | **393,472** |
| Cash flows used in financing activities | | |
| Dividends paid | (314,977) | (594,957) |
| Net increase/ (decrease) in cash and cash equivalents | 782,250 | 2,127,624 |
| Cash and cash equivalents at 1 January | 5,373,721 | 3,245,755 |
| Effect of unrealised exchange rate changes | 0 | 342 |
| **Cash and cash equivalent at 31 December 2019** | **6,155,971** | **5,373,721** |

The unaudited financial statements were approved by the Board of Directors on 26th March 2020 and were signed on its behalf by:

| | | |
|---|---|---|
| Jadiah Mwarania | Chiboli Shakaba | Anthony Munyao |
| **Principal Officer** | **Chairman** | **Director** |

The financial statements for the full year ended 31 December 2019 have been audited by the appointed auditor on behalf of the Auditor General as per the public Audit Act 2015

The audit of the financials statements for the full year ended 31 December 2019 is not complete pending the appointment of the Auditor General

**PERFORMANCE COMMENTARY**

**FINANCIAL HIGHLIGHTS**

Gross written premiums grew by 18% from KShs 14.84 billion in the year 2018 to KShs 17.52 billion in 2019. Net earned premiums grew by 9% from KShs 14.21 billion in 2018 to KShs 15.53 billion in 2019

Investment income grew by 10% from KShs 3.39 billion to KShs 3.71 billion,driven by adhering to the Corporation's investment strategy

Claims incurred in year 2019 grew by 25% to KShs 11.06 billion up from KShs 8.83 billion in 2018.

Cedant acquisition costs increased by 5% from KShs. 3.89 billion to KShs. 4.09 billion in line with an increase of 18% in gross premium written.

Operating expenses increased by 1% from KShs. 2,020 million as at 31 December 2018 to KShs.2,043 million as at 31st December 2019.

Profit before tax for the year stood at KShs 4.18 billion, an increase of 35% from last year profit before tax of KShs 3 .1 billion.The growth was due to high gross premiums written, significant growth in the share of profit from our investment in associate in Zep Re and gains on revaluation of investments property

The asset base increased from KShs 44.36 billion in 2018 to KShs 50.36 billion in 2019, a growth of 14%.

The Shareholders funds increased from KShs 28.37 billion in 2018 to KShs 31.95 billion in 2019 a growth of 13%.

**DIVIDENDS**

The Board of Directors recommend a payment of Kes 0.10 dividend per share

**AUDIT OPINION**

The audit of the financials statements for the full year ended 31 December 2019 is not complete pending the appointment of the Auditor General

**KEY AUDIT MATTERS**

Evaluation whether the disclosures made in the consolidated and separate financial statements reflect the Group's credit risk and impairment provision on the receivables.

Assessment of the completeness of the disclosures regarding the reinsurance contract liabilities in the consolidated and separate financial statements

Determination of the adequacy of the premium revenue recognition and un-earned premium reserves are well supported.

**By Order of the Board**

**Charles Kariuki**
**Company Secretary**

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Ability Beyond Disability

KENYA RE